Amended and Restated Operating Agreement

Calder Works Master Tenant LLC | Dated as of August 15, 2024

This Amended and Restated Operating Agreement of Calder Works Master Tenant LLC, a Virginia limited liability company (the Company), is made and entered into as of August 15, 2024 by and among Calder Works MT Manager LLC, as Managing Member, and Ridgeline Historic Equity Fund IV LLC, as Investor Member, and amends and restates in its entirety the Operating Agreement of the Company dated May 2, 2024.

The Company is the lessee of the Buildings under the Master Lease and is intended to be treated, by reason of the election described in Section 50(d) of the Code, as the taxpayer entitled to the Federal Credits with respect to each Building.

Article 2

Section 2.1 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 2.2 Tax Matters Partner. The Managing Member is designated as the partnership representative of the Company within the meaning of Section 6223 of the Code. The partnership representative shall not settle any audit, extend any statute of limitations or file any petition with respect to Company tax items without the prior written consent of the Investor Member, and shall keep the Investor Member informed of all material communications with taxing authorities.

Section 2.3 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 2.4 Budgets and Operating Plans. Not later than sixty days before the start of each fiscal year, the Managing Member shall prepare and deliver to the Investor Member a proposed annual operating budget for the Property. Any budget that increases total operating expenses by more than ten percent over the prior year, or that provides for any capital expenditure in excess of $100,000, shall require the approval of the Investor Member.

Section 2.5 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 2.6 Representations of Authority. Each party represents and warrants that it is duly organized, validly existing and in good standing under the laws of the jurisdiction of its formation; that it has full power and authority to enter into and perform this Agreement; that the execution, delivery and performance of this Agreement have been duly authorized by all necessary action; and that this Agreement constitutes its legal, valid and binding obligation, enforceable in accordance with its terms.

Section 2.7 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 2.8 Removal of Managing Member. The Investor Member may remove the Managing Member upon the occurrence of any of the following: (i) fraud, gross negligence or willful misconduct; (ii) a material breach of this Agreement not cured within thirty days after notice; (iii) the bankruptcy of the Managing Member or any Guarantor; or (iv) any action or omission that results in a recapture or disallowance of the Credits.

Section 2.9 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 2.10 Amendments. No amendment, modification, supplement or waiver of any provision of this Agreement shall be effective unless set forth in a writing signed by each party against whom enforcement is sought. Any Exhibit may be replaced only by an amendment that expressly identifies the Exhibit being replaced; absent such identification, the Exhibit attached on the Effective Date shall continue to control.

Section 2.11 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 2.12 Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, constitutes the entire agreement among the parties with respect to its subject matter and supersedes all prior and contemporaneous agreements, term sheets, letters of intent, presentations and understandings, whether written or oral. No statement in any offering material, investor presentation or summary shall modify the terms hereof unless expressly incorporated by written amendment.

Article 3

Section 3.1 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 3.2 Assignment. Calder Works Master Tenant LLC shall not assign, transfer or delegate any of its rights or obligations under this Agreement, whether voluntarily, by operation of law or otherwise, without the prior written consent of Ridgeline Historic Equity Fund IV LLC, which may be withheld in its sole discretion. Any purported assignment in violation of this Section shall be null and void. Subject to the foregoing, this Agreement shall bind and benefit the parties and their respective successors and permitted assigns.

Section 3.3 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 3.4 Time of the Essence. Time is of the essence with respect to each provision of this Agreement in which a time for performance is specified. If the last day for the performance of any obligation falls on a day that is not a business day, the time for performance shall be extended to the next succeeding business day.

Article 1 - Definitions

Section 1.1 'Project' means the acquisition and rehabilitation of the structures known as Buildings A, B and C at 1200 Commerce Street, Lynchburg, Virginia, together with the parking deck and related site improvements, all as more particularly described in the Plans and Specifications.

Section 1.1 'Projected Federal Credits' means the aggregate Federal Credits projected to be allocated to the Company with respect to the Buildings, being twenty percent (20%) of the Projected QRE, as set forth on Exhibit B, as such Exhibit may be revised only by a written amendment executed by the Investor Member that expressly refers to this definition.

Section 1.1 'Federal Credit Price' means eighty-six cents ($0.86) per dollar of Federal Credit, subject to adjustment as provided in Section 3.4(c).

Section 1.1 'Projected QRE' means, for each Building and in the aggregate, the qualified rehabilitation expenditures set forth in Schedule 1 to Exhibit B.

Section 3.5 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 3.6 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Ridgeline Historic Equity Fund IV LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of Calder Works Master Tenant LLC beyond those expressly stated herein.

Section 3.7 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 3.8 Compensation of Manager. As full compensation for its services, the Manager shall receive a monthly management fee equal to four percent of gross collected revenues of the Property, payable in arrears on the tenth day of each month. No leasing commission, construction supervision fee or other compensation shall be payable to the Manager or its affiliates except as approved in writing by the Owner.

Section 3.9 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 3.10 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 3.11 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 3.12 Dissolution. The Company shall dissolve and its affairs shall be wound up upon the first to occur of (a) the sale or other disposition of all or substantially all of its assets, (b) the written consent of all Members, or (c) the entry of a decree of judicial dissolution. Upon dissolution, the assets of the Company shall be applied in the order of priority set forth in Section 10.3.

Article 4

Section 4.1 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 4.2 Environmental Matters. Calder Works Master Tenant LLC shall not cause or permit any hazardous substance to be generated, stored, released or disposed of on or from the Property except in compliance with applicable environmental laws. Calder Works Master Tenant LLC shall promptly notify Ridgeline Historic Equity Fund IV LLC of any release, claim or notice of violation and shall undertake, at its cost, any remediation required by any governmental authority having jurisdiction.

Section 4.3 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 4.4 Books and Records. Calder Works Master Tenant LLC shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to Ridgeline Historic Equity Fund IV LLC and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.

Section 4.5 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 4.6 Insurance. During the term of this Agreement, Calder Works Master Tenant LLC shall maintain, at its sole cost, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, builder's risk insurance on a completed value basis, and such other coverage as Ridgeline Historic Equity Fund IV LLC may reasonably require. Each policy shall name Ridgeline Historic Equity Fund IV LLC as an additional insured and shall provide for thirty days' prior written notice of cancellation.

Section 4.7 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 4.8 Accounting and Tax Matters. The fiscal year of the Company shall be the calendar year. The Company shall prepare and file all federal, state and local tax returns required to be filed by it and shall deliver to each Member, within seventy-five days after the end of each fiscal year, a Schedule K-1 and such other information as the Member may reasonably require to prepare its own returns.

Section 4.9 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 4.10 Events of Default. Each of the following shall constitute an Event of Default: (a) failure to pay any amount when due and continuance of such failure for ten days; (b) any representation proving untrue in any material respect when made; (c) failure to perform any other covenant within thirty days after notice; (d) the filing of any lien against the Property not bonded or discharged within thirty days; or (e) any material adverse change in the condition of the Property or the Borrower.

Section 4.11 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 4.12 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Article 5

Section 5.1 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 5.2 Interpretation. The headings in this Agreement are for convenience only and shall not affect its interpretation. Words in the singular include the plural and vice versa. The words 'include', 'includes' and 'including' are deemed followed by 'without limitation'. References to Sections, Exhibits and Schedules are to those of this Agreement unless otherwise stated. Defined terms used in an Exhibit have the meanings given in the body of this Agreement unless the Exhibit provides otherwise.

Section 5.3 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 5.4 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 5.5 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 5.6 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 5.7 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 5.8 Indemnification. Calder Works Master Tenant LLC shall indemnify, defend and hold harmless Ridgeline Historic Equity Fund IV LLC and its members, managers, officers, employees and agents from and against any and all losses, liabilities, damages, costs and expenses, including reasonable attorneys' fees, arising out of (a) any breach of any representation, warranty or covenant of Calder Works Master Tenant LLC contained herein, (b) the gross negligence or willful misconduct of Calder Works Master Tenant LLC, or (c) any claim by a third party relating to the condition of the Property prior to the Effective Date.

Article 3 - Capital Contributions

Section 3.1(a) Subject to the terms and conditions of this Agreement, the Investor Member shall make Capital Contributions in an aggregate amount (the 'Initial Capital Contribution') equal to the product of (x) the Projected Federal Credits and (y) the Federal Credit Price, which amount the parties acknowledge equals Six Million Two Hundred Sixty-Nine Thousand Four Hundred Dollars ($6,269,400), payable in installments as provided in Section 3.2 and subject to adjustment as provided in Section 3.4.

Section 3.1(b) No installment shall be due until each condition precedent applicable to it has been satisfied or waived in writing by the Investor Member, and the Investor Member shall have received a certificate of the Managing Member to that effect.

Section 3.2 - Installments

Section 3.2(a) Twenty percent (20%) of the Initial Capital Contribution, being $1,253,880, upon the later of the date hereof and the satisfaction of the conditions set forth in Section 3.3(a).

Section 3.2(b) Forty percent (40%), being $2,507,760, upon receipt by the Investor Member of a copy of the National Park Service's approval of the Part 3 request for Building A, without conditions that have not been satisfied.

Section 3.2(c) Thirty percent (30%), being $1,880,820, upon receipt of the corresponding Part 3 approval for Building B.

Section 3.2(d) Ten percent (10%), being $626,940, upon Stabilization, as defined in Section 1.1.

Section 5.9 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 5.10 No Third-Party Beneficiaries. Nothing in this Agreement, express or implied, is intended to or shall confer upon any person other than the parties and their respective successors and permitted assigns any legal or equitable right, benefit or remedy of any nature whatsoever under or by reason of this Agreement, except as expressly provided with respect to indemnified persons.

Section 5.11 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 5.12 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Article 6

Section 6.1 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 6.2 Retainage. The Lender shall retain ten percent of each advance for hard costs until the Project is fifty percent complete, as certified by the Lender's inspecting engineer, and five percent thereafter. Retainage shall be released upon substantial completion of the applicable Building, receipt of a certificate of occupancy and final lien waivers, and satisfaction of all punch list items.

Section 6.3 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 6.4 Remedies Cumulative. Except as otherwise expressly provided, the rights and remedies of the parties under this Agreement are cumulative and not exclusive of any rights or remedies that they may otherwise have at law or in equity. The exercise of any one right or remedy shall not preclude the concurrent or subsequent exercise of any other right or remedy.

Section 3.4 - Adjustments

Section 3.4(a) Downward Credit Adjuster. If the Federal Credits finally determined with respect to the Buildings (as reflected in the cost certification and the Company's returns) are less than the Projected Federal Credits, the Managing Member shall pay to the Investor Member, within thirty (30) days after demand and as a reduction of the Investor Member's Capital Contribution, an amount equal to the product of the amount of such shortfall and the Federal Credit Price.

Section 3.4(b) Upward Credit Adjuster. If the Federal Credits finally determined exceed the Projected Federal Credits, the Investor Member shall contribute an additional amount equal to the product of such excess and the Federal Credit Price, not to exceed five percent (5%) of the Initial Capital Contribution.

Section 3.4(c) Timing Adjuster. If either Building has not been placed in service on or before December 31, 2025, the Federal Credit Price shall be reduced, effective as of such date and with respect to all Federal Credits, by two cents ($0.02) per dollar of Federal Credit, and the installments not yet paid shall be reduced accordingly.

Section 6.5 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 6.6 Estoppel Certificates. Within ten business days after request by Ridgeline Historic Equity Fund IV LLC, Calder Works Master Tenant LLC shall deliver a certificate stating whether this Agreement is in full force and effect, whether it has been modified (and identifying any modification), the dates through which amounts payable hereunder have been paid, and whether, to the knowledge of the certifying party, any default exists. Any such certificate may be relied upon by any prospective lender, investor or purchaser.

Section 6.7 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 6.8 Force Majeure. Neither party shall be liable for any delay or failure in performance (other than the payment of money) caused by events beyond its reasonable control, including acts of God, fire, flood, epidemic, war, terrorism, labor disputes not involving the affected party's employees, governmental action or unavailability of materials, provided that the affected party gives prompt notice and uses commercially reasonable efforts to resume performance.

Section 6.9 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 6.10 Confidentiality. Each party shall hold in confidence all non-public information furnished by the other party in connection with this Agreement and shall not disclose such information to any person other than its attorneys, accountants, lenders, investors and advisors who have a need to know and are bound by obligations of confidentiality, except as required by law, regulation or the order of a court or governmental authority.

Section 6.11 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 6.12 Reserves. The Company shall establish and maintain an operating reserve and a replacement reserve in the amounts required by the Lender and the Investor Member. Withdrawals from the operating reserve shall be made only to fund operating deficits, and withdrawals from the replacement reserve shall be made only for capital repairs and replacements approved in the annual budget or otherwise approved by the Investor Member.

Article 7

Section 7.1 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 7.2 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 7.3 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 7.4 Compliance with Laws. Calder Works Master Tenant LLC shall comply in all material respects with all laws, ordinances, rules, regulations and orders of governmental authorities applicable to the Property and its operation, including building codes, fire safety regulations, environmental laws, fair housing laws and the requirements of the Americans with Disabilities Act, and shall obtain and maintain all permits and licenses required in connection therewith.

Section 7.5 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 7.6 Management Standards. The Manager shall operate the Property in a manner consistent with first-class residential properties of similar age and type in the Lynchburg metropolitan area, shall use diligent efforts to lease units at market rents, shall collect rents and other income, and shall cause all repairs and maintenance to be performed in a good and workmanlike manner in accordance with the approved budget.

Section 7.7 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 7.8 Warranty of Work. The Contractor warrants that all materials and equipment furnished under this Agreement will be new unless otherwise specified, of good quality and free from defects, and that the Work will conform to the Contract Documents. The Contractor shall correct any Work found to be defective within one year after substantial completion of the applicable Building.

Section 7.9 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 7.10 Draw Requests. Each request for an advance shall be submitted on the Lender's standard form not later than the fifteenth day of the month, accompanied by an AIA G702/G703 application for payment certified by the Architect, lien waivers from the General Contractor and each subcontractor for the prior advance, an updated construction schedule and such other documents as the Lender may reasonably require.

Section 7.11 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 7.12 Representations Regarding the Property. Calder Works Master Tenant LLC represents that, to its knowledge, there are no pending or threatened actions, suits or proceedings affecting the Property; that it has not received any notice of violation of any law affecting the Property that remains uncured; and that the plans and specifications for the rehabilitation have been prepared in accordance with the approved Part 2 application and all conditions thereto.

Article 8

Section 8.1 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 8.2 Tax Matters Partner. The Managing Member is designated as the partnership representative of the Company within the meaning of Section 6223 of the Code. The partnership representative shall not settle any audit, extend any statute of limitations or file any petition with respect to Company tax items without the prior written consent of the Investor Member, and shall keep the Investor Member informed of all material communications with taxing authorities.

Section 8.3 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 8.4 Budgets and Operating Plans. Not later than sixty days before the start of each fiscal year, the Managing Member shall prepare and deliver to the Investor Member a proposed annual operating budget for the Property. Any budget that increases total operating expenses by more than ten percent over the prior year, or that provides for any capital expenditure in excess of $100,000, shall require the approval of the Investor Member.

Section 8.5 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 8.6 Representations of Authority. Each party represents and warrants that it is duly organized, validly existing and in good standing under the laws of the jurisdiction of its formation; that it has full power and authority to enter into and perform this Agreement; that the execution, delivery and performance of this Agreement have been duly authorized by all necessary action; and that this Agreement constitutes its legal, valid and binding obligation, enforceable in accordance with its terms.

Section 8.7 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 8.8 Removal of Managing Member. The Investor Member may remove the Managing Member upon the occurrence of any of the following: (i) fraud, gross negligence or willful misconduct; (ii) a material breach of this Agreement not cured within thirty days after notice; (iii) the bankruptcy of the Managing Member or any Guarantor; or (iv) any action or omission that results in a recapture or disallowance of the Credits.

Section 8.9 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 8.10 Amendments. No amendment, modification, supplement or waiver of any provision of this Agreement shall be effective unless set forth in a writing signed by each party against whom enforcement is sought. Any Exhibit may be replaced only by an amendment that expressly identifies the Exhibit being replaced; absent such identification, the Exhibit attached on the Effective Date shall continue to control.

Section 8.11 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 8.12 Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, constitutes the entire agreement among the parties with respect to its subject matter and supersedes all prior and contemporaneous agreements, term sheets, letters of intent, presentations and understandings, whether written or oral. No statement in any offering material, investor presentation or summary shall modify the terms hereof unless expressly incorporated by written amendment.

Article 9

Section 9.1 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 9.2 Assignment. Calder Works Master Tenant LLC shall not assign, transfer or delegate any of its rights or obligations under this Agreement, whether voluntarily, by operation of law or otherwise, without the prior written consent of Ridgeline Historic Equity Fund IV LLC, which may be withheld in its sole discretion. Any purported assignment in violation of this Section shall be null and void. Subject to the foregoing, this Agreement shall bind and benefit the parties and their respective successors and permitted assigns.

Section 9.3 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 9.4 Time of the Essence. Time is of the essence with respect to each provision of this Agreement in which a time for performance is specified. If the last day for the performance of any obligation falls on a day that is not a business day, the time for performance shall be extended to the next succeeding business day.

Section 9.5 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 9.6 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Ridgeline Historic Equity Fund IV LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of Calder Works Master Tenant LLC beyond those expressly stated herein.

Section 9.7 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 9.8 Compensation of Manager. As full compensation for its services, the Manager shall receive a monthly management fee equal to four percent of gross collected revenues of the Property, payable in arrears on the tenth day of each month. No leasing commission, construction supervision fee or other compensation shall be payable to the Manager or its affiliates except as approved in writing by the Owner.

Section 9.9 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 9.10 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 9.11 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 9.12 Dissolution. The Company shall dissolve and its affairs shall be wound up upon the first to occur of (a) the sale or other disposition of all or substantially all of its assets, (b) the written consent of all Members, or (c) the entry of a decree of judicial dissolution. Upon dissolution, the assets of the Company shall be applied in the order of priority set forth in Section 10.3.

Article 10

Section 10.1 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 10.2 Environmental Matters. Calder Works Master Tenant LLC shall not cause or permit any hazardous substance to be generated, stored, released or disposed of on or from the Property except in compliance with applicable environmental laws. Calder Works Master Tenant LLC shall promptly notify Ridgeline Historic Equity Fund IV LLC of any release, claim or notice of violation and shall undertake, at its cost, any remediation required by any governmental authority having jurisdiction.

Section 10.3 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 10.4 Books and Records. Calder Works Master Tenant LLC shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to Ridgeline Historic Equity Fund IV LLC and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.

Article 6 - Developer

Section 6.4 Development Fee. The aggregate development fee payable to the Developer and its Affiliates with respect to the Project, including any portion deferred under Section 6.5 and any fee for construction oversight, shall not exceed Four Million Two Hundred Thousand Dollars ($4,200,000) without the prior written Consent of the Investor Member.

Section 10.5 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 10.6 Insurance. During the term of this Agreement, Calder Works Master Tenant LLC shall maintain, at its sole cost, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, builder's risk insurance on a completed value basis, and such other coverage as Ridgeline Historic Equity Fund IV LLC may reasonably require. Each policy shall name Ridgeline Historic Equity Fund IV LLC as an additional insured and shall provide for thirty days' prior written notice of cancellation.

Section 10.7 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 10.8 Accounting and Tax Matters. The fiscal year of the Company shall be the calendar year. The Company shall prepare and file all federal, state and local tax returns required to be filed by it and shall deliver to each Member, within seventy-five days after the end of each fiscal year, a Schedule K-1 and such other information as the Member may reasonably require to prepare its own returns.

Section 10.9 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 10.10 Events of Default. Each of the following shall constitute an Event of Default: (a) failure to pay any amount when due and continuance of such failure for ten days; (b) any representation proving untrue in any material respect when made; (c) failure to perform any other covenant within thirty days after notice; (d) the filing of any lien against the Property not bonded or discharged within thirty days; or (e) any material adverse change in the condition of the Property or the Borrower.

Section 10.11 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 10.12 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Article 7 - Management

Section 7.2 Property Management. The Managing Member shall cause the Company to engage a property manager under a written agreement approved by the Investor Member. No management agreement shall provide for a management fee exceeding three and one-half percent (3.5%) of Gross Operating Revenues, whether payable to an Affiliate or otherwise.

Article 11

Section 11.1 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 11.2 Interpretation. The headings in this Agreement are for convenience only and shall not affect its interpretation. Words in the singular include the plural and vice versa. The words 'include', 'includes' and 'including' are deemed followed by 'without limitation'. References to Sections, Exhibits and Schedules are to those of this Agreement unless otherwise stated. Defined terms used in an Exhibit have the meanings given in the body of this Agreement unless the Exhibit provides otherwise.

Section 11.3 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 11.4 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 11.5 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 11.6 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 11.7 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 11.8 Indemnification. Calder Works Master Tenant LLC shall indemnify, defend and hold harmless Ridgeline Historic Equity Fund IV LLC and its members, managers, officers, employees and agents from and against any and all losses, liabilities, damages, costs and expenses, including reasonable attorneys' fees, arising out of (a) any breach of any representation, warranty or covenant of Calder Works Master Tenant LLC contained herein, (b) the gross negligence or willful misconduct of Calder Works Master Tenant LLC, or (c) any claim by a third party relating to the condition of the Property prior to the Effective Date.

Section 11.9 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 11.10 No Third-Party Beneficiaries. Nothing in this Agreement, express or implied, is intended to or shall confer upon any person other than the parties and their respective successors and permitted assigns any legal or equitable right, benefit or remedy of any nature whatsoever under or by reason of this Agreement, except as expressly provided with respect to indemnified persons.

Section 11.11 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 11.12 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Article 12

Section 12.1 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 12.2 Retainage. The Lender shall retain ten percent of each advance for hard costs until the Project is fifty percent complete, as certified by the Lender's inspecting engineer, and five percent thereafter. Retainage shall be released upon substantial completion of the applicable Building, receipt of a certificate of occupancy and final lien waivers, and satisfaction of all punch list items.

Section 12.3 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 12.4 Remedies Cumulative. Except as otherwise expressly provided, the rights and remedies of the parties under this Agreement are cumulative and not exclusive of any rights or remedies that they may otherwise have at law or in equity. The exercise of any one right or remedy shall not preclude the concurrent or subsequent exercise of any other right or remedy.

Section 12.5 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 12.6 Estoppel Certificates. Within ten business days after request by Ridgeline Historic Equity Fund IV LLC, Calder Works Master Tenant LLC shall deliver a certificate stating whether this Agreement is in full force and effect, whether it has been modified (and identifying any modification), the dates through which amounts payable hereunder have been paid, and whether, to the knowledge of the certifying party, any default exists. Any such certificate may be relied upon by any prospective lender, investor or purchaser.

Section 12.7 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 12.8 Force Majeure. Neither party shall be liable for any delay or failure in performance (other than the payment of money) caused by events beyond its reasonable control, including acts of God, fire, flood, epidemic, war, terrorism, labor disputes not involving the affected party's employees, governmental action or unavailability of materials, provided that the affected party gives prompt notice and uses commercially reasonable efforts to resume performance.

Article 9 - Compliance

Section 9.7 The Managing Member shall not permit any transfer of the Master Lease or of any interest in the Company during the five-year recapture period of either Building without the Consent of the Investor Member.

Section 12.9 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 12.10 Confidentiality. Each party shall hold in confidence all non-public information furnished by the other party in connection with this Agreement and shall not disclose such information to any person other than its attorneys, accountants, lenders, investors and advisors who have a need to know and are bound by obligations of confidentiality, except as required by law, regulation or the order of a court or governmental authority.

Section 12.11 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 12.12 Reserves. The Company shall establish and maintain an operating reserve and a replacement reserve in the amounts required by the Lender and the Investor Member. Withdrawals from the operating reserve shall be made only to fund operating deficits, and withdrawals from the replacement reserve shall be made only for capital repairs and replacements approved in the annual budget or otherwise approved by the Investor Member.

Article 13

Section 13.1 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 13.2 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 13.3 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 13.4 Compliance with Laws. Calder Works Master Tenant LLC shall comply in all material respects with all laws, ordinances, rules, regulations and orders of governmental authorities applicable to the Property and its operation, including building codes, fire safety regulations, environmental laws, fair housing laws and the requirements of the Americans with Disabilities Act, and shall obtain and maintain all permits and licenses required in connection therewith.

Section 13.5 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 13.6 Management Standards. The Manager shall operate the Property in a manner consistent with first-class residential properties of similar age and type in the Lynchburg metropolitan area, shall use diligent efforts to lease units at market rents, shall collect rents and other income, and shall cause all repairs and maintenance to be performed in a good and workmanlike manner in accordance with the approved budget.

Section 13.7 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 13.8 Warranty of Work. The Contractor warrants that all materials and equipment furnished under this Agreement will be new unless otherwise specified, of good quality and free from defects, and that the Work will conform to the Contract Documents. The Contractor shall correct any Work found to be defective within one year after substantial completion of the applicable Building.

Section 13.9 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 13.10 Draw Requests. Each request for an advance shall be submitted on the Lender's standard form not later than the fifteenth day of the month, accompanied by an AIA G702/G703 application for payment certified by the Architect, lien waivers from the General Contractor and each subcontractor for the prior advance, an updated construction schedule and such other documents as the Lender may reasonably require.

Section 13.11 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 13.12 Representations Regarding the Property. Calder Works Master Tenant LLC represents that, to its knowledge, there are no pending or threatened actions, suits or proceedings affecting the Property; that it has not received any notice of violation of any law affecting the Property that remains uncured; and that the plans and specifications for the rehabilitation have been prepared in accordance with the approved Part 2 application and all conditions thereto.

Article 14

Section 14.1 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 14.2 Tax Matters Partner. The Managing Member is designated as the partnership representative of the Company within the meaning of Section 6223 of the Code. The partnership representative shall not settle any audit, extend any statute of limitations or file any petition with respect to Company tax items without the prior written consent of the Investor Member, and shall keep the Investor Member informed of all material communications with taxing authorities.

Section 14.3 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 14.4 Budgets and Operating Plans. Not later than sixty days before the start of each fiscal year, the Managing Member shall prepare and deliver to the Investor Member a proposed annual operating budget for the Property. Any budget that increases total operating expenses by more than ten percent over the prior year, or that provides for any capital expenditure in excess of $100,000, shall require the approval of the Investor Member.

Section 14.5 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 14.6 Representations of Authority. Each party represents and warrants that it is duly organized, validly existing and in good standing under the laws of the jurisdiction of its formation; that it has full power and authority to enter into and perform this Agreement; that the execution, delivery and performance of this Agreement have been duly authorized by all necessary action; and that this Agreement constitutes its legal, valid and binding obligation, enforceable in accordance with its terms.

Section 14.7 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 14.8 Removal of Managing Member. The Investor Member may remove the Managing Member upon the occurrence of any of the following: (i) fraud, gross negligence or willful misconduct; (ii) a material breach of this Agreement not cured within thirty days after notice; (iii) the bankruptcy of the Managing Member or any Guarantor; or (iv) any action or omission that results in a recapture or disallowance of the Credits.

Section 14.9 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 14.10 Amendments. No amendment, modification, supplement or waiver of any provision of this Agreement shall be effective unless set forth in a writing signed by each party against whom enforcement is sought. Any Exhibit may be replaced only by an amendment that expressly identifies the Exhibit being replaced; absent such identification, the Exhibit attached on the Effective Date shall continue to control.

Section 14.11 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 14.12 Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, constitutes the entire agreement among the parties with respect to its subject matter and supersedes all prior and contemporaneous agreements, term sheets, letters of intent, presentations and understandings, whether written or oral. No statement in any offering material, investor presentation or summary shall modify the terms hereof unless expressly incorporated by written amendment.

Article 15

Section 15.1 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 15.2 Assignment. Calder Works Master Tenant LLC shall not assign, transfer or delegate any of its rights or obligations under this Agreement, whether voluntarily, by operation of law or otherwise, without the prior written consent of Ridgeline Historic Equity Fund IV LLC, which may be withheld in its sole discretion. Any purported assignment in violation of this Section shall be null and void. Subject to the foregoing, this Agreement shall bind and benefit the parties and their respective successors and permitted assigns.

Section 15.3 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 15.4 Time of the Essence. Time is of the essence with respect to each provision of this Agreement in which a time for performance is specified. If the last day for the performance of any obligation falls on a day that is not a business day, the time for performance shall be extended to the next succeeding business day.

Section 15.5 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 15.6 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Ridgeline Historic Equity Fund IV LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of Calder Works Master Tenant LLC beyond those expressly stated herein.

Section 15.7 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 15.8 Compensation of Manager. As full compensation for its services, the Manager shall receive a monthly management fee equal to four percent of gross collected revenues of the Property, payable in arrears on the tenth day of each month. No leasing commission, construction supervision fee or other compensation shall be payable to the Manager or its affiliates except as approved in writing by the Owner.

Section 15.9 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 15.10 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 15.11 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 15.12 Dissolution. The Company shall dissolve and its affairs shall be wound up upon the first to occur of (a) the sale or other disposition of all or substantially all of its assets, (b) the written consent of all Members, or (c) the entry of a decree of judicial dissolution. Upon dissolution, the assets of the Company shall be applied in the order of priority set forth in Section 10.3.

Article 16

Section 16.1 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 16.2 Environmental Matters. Calder Works Master Tenant LLC shall not cause or permit any hazardous substance to be generated, stored, released or disposed of on or from the Property except in compliance with applicable environmental laws. Calder Works Master Tenant LLC shall promptly notify Ridgeline Historic Equity Fund IV LLC of any release, claim or notice of violation and shall undertake, at its cost, any remediation required by any governmental authority having jurisdiction.

Section 16.3 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 16.4 Books and Records. Calder Works Master Tenant LLC shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to Ridgeline Historic Equity Fund IV LLC and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.

Section 16.5 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 16.6 Insurance. During the term of this Agreement, Calder Works Master Tenant LLC shall maintain, at its sole cost, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, builder's risk insurance on a completed value basis, and such other coverage as Ridgeline Historic Equity Fund IV LLC may reasonably require. Each policy shall name Ridgeline Historic Equity Fund IV LLC as an additional insured and shall provide for thirty days' prior written notice of cancellation.

Section 16.7 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 16.8 Accounting and Tax Matters. The fiscal year of the Company shall be the calendar year. The Company shall prepare and file all federal, state and local tax returns required to be filed by it and shall deliver to each Member, within seventy-five days after the end of each fiscal year, a Schedule K-1 and such other information as the Member may reasonably require to prepare its own returns.

Section 16.9 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 16.10 Events of Default. Each of the following shall constitute an Event of Default: (a) failure to pay any amount when due and continuance of such failure for ten days; (b) any representation proving untrue in any material respect when made; (c) failure to perform any other covenant within thirty days after notice; (d) the filing of any lien against the Property not bonded or discharged within thirty days; or (e) any material adverse change in the condition of the Property or the Borrower.

Section 16.11 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 16.12 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Article 17

Section 17.1 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 17.2 Interpretation. The headings in this Agreement are for convenience only and shall not affect its interpretation. Words in the singular include the plural and vice versa. The words 'include', 'includes' and 'including' are deemed followed by 'without limitation'. References to Sections, Exhibits and Schedules are to those of this Agreement unless otherwise stated. Defined terms used in an Exhibit have the meanings given in the body of this Agreement unless the Exhibit provides otherwise.

Section 17.3 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 17.4 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 17.5 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 17.6 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 17.7 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 17.8 Indemnification. Calder Works Master Tenant LLC shall indemnify, defend and hold harmless Ridgeline Historic Equity Fund IV LLC and its members, managers, officers, employees and agents from and against any and all losses, liabilities, damages, costs and expenses, including reasonable attorneys' fees, arising out of (a) any breach of any representation, warranty or covenant of Calder Works Master Tenant LLC contained herein, (b) the gross negligence or willful misconduct of Calder Works Master Tenant LLC, or (c) any claim by a third party relating to the condition of the Property prior to the Effective Date.

Section 17.9 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 17.10 No Third-Party Beneficiaries. Nothing in this Agreement, express or implied, is intended to or shall confer upon any person other than the parties and their respective successors and permitted assigns any legal or equitable right, benefit or remedy of any nature whatsoever under or by reason of this Agreement, except as expressly provided with respect to indemnified persons.

Section 17.11 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 17.12 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Article 18

Section 18.1 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 18.2 Retainage. The Lender shall retain ten percent of each advance for hard costs until the Project is fifty percent complete, as certified by the Lender's inspecting engineer, and five percent thereafter. Retainage shall be released upon substantial completion of the applicable Building, receipt of a certificate of occupancy and final lien waivers, and satisfaction of all punch list items.

Section 18.3 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 18.4 Remedies Cumulative. Except as otherwise expressly provided, the rights and remedies of the parties under this Agreement are cumulative and not exclusive of any rights or remedies that they may otherwise have at law or in equity. The exercise of any one right or remedy shall not preclude the concurrent or subsequent exercise of any other right or remedy.

Section 18.5 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 18.6 Estoppel Certificates. Within ten business days after request by Ridgeline Historic Equity Fund IV LLC, Calder Works Master Tenant LLC shall deliver a certificate stating whether this Agreement is in full force and effect, whether it has been modified (and identifying any modification), the dates through which amounts payable hereunder have been paid, and whether, to the knowledge of the certifying party, any default exists. Any such certificate may be relied upon by any prospective lender, investor or purchaser.

Section 18.7 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 18.8 Force Majeure. Neither party shall be liable for any delay or failure in performance (other than the payment of money) caused by events beyond its reasonable control, including acts of God, fire, flood, epidemic, war, terrorism, labor disputes not involving the affected party's employees, governmental action or unavailability of materials, provided that the affected party gives prompt notice and uses commercially reasonable efforts to resume performance.

Section 18.9 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 18.10 Confidentiality. Each party shall hold in confidence all non-public information furnished by the other party in connection with this Agreement and shall not disclose such information to any person other than its attorneys, accountants, lenders, investors and advisors who have a need to know and are bound by obligations of confidentiality, except as required by law, regulation or the order of a court or governmental authority.

Section 18.11 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 18.12 Reserves. The Company shall establish and maintain an operating reserve and a replacement reserve in the amounts required by the Lender and the Investor Member. Withdrawals from the operating reserve shall be made only to fund operating deficits, and withdrawals from the replacement reserve shall be made only for capital repairs and replacements approved in the annual budget or otherwise approved by the Investor Member.

Article 19

Section 19.1 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 19.2 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 19.3 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 19.4 Compliance with Laws. Calder Works Master Tenant LLC shall comply in all material respects with all laws, ordinances, rules, regulations and orders of governmental authorities applicable to the Property and its operation, including building codes, fire safety regulations, environmental laws, fair housing laws and the requirements of the Americans with Disabilities Act, and shall obtain and maintain all permits and licenses required in connection therewith.

Section 19.5 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 19.6 Management Standards. The Manager shall operate the Property in a manner consistent with first-class residential properties of similar age and type in the Lynchburg metropolitan area, shall use diligent efforts to lease units at market rents, shall collect rents and other income, and shall cause all repairs and maintenance to be performed in a good and workmanlike manner in accordance with the approved budget.

Section 19.7 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 19.8 Warranty of Work. The Contractor warrants that all materials and equipment furnished under this Agreement will be new unless otherwise specified, of good quality and free from defects, and that the Work will conform to the Contract Documents. The Contractor shall correct any Work found to be defective within one year after substantial completion of the applicable Building.

Section 19.9 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 19.10 Draw Requests. Each request for an advance shall be submitted on the Lender's standard form not later than the fifteenth day of the month, accompanied by an AIA G702/G703 application for payment certified by the Architect, lien waivers from the General Contractor and each subcontractor for the prior advance, an updated construction schedule and such other documents as the Lender may reasonably require.

Section 19.11 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 19.12 Representations Regarding the Property. Calder Works Master Tenant LLC represents that, to its knowledge, there are no pending or threatened actions, suits or proceedings affecting the Property; that it has not received any notice of violation of any law affecting the Property that remains uncured; and that the plans and specifications for the rehabilitation have been prepared in accordance with the approved Part 2 application and all conditions thereto.

Article 20

Section 20.1 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 20.2 Tax Matters Partner. The Managing Member is designated as the partnership representative of the Company within the meaning of Section 6223 of the Code. The partnership representative shall not settle any audit, extend any statute of limitations or file any petition with respect to Company tax items without the prior written consent of the Investor Member, and shall keep the Investor Member informed of all material communications with taxing authorities.

Section 20.3 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 20.4 Budgets and Operating Plans. Not later than sixty days before the start of each fiscal year, the Managing Member shall prepare and deliver to the Investor Member a proposed annual operating budget for the Property. Any budget that increases total operating expenses by more than ten percent over the prior year, or that provides for any capital expenditure in excess of $100,000, shall require the approval of the Investor Member.

Section 20.5 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 20.6 Representations of Authority. Each party represents and warrants that it is duly organized, validly existing and in good standing under the laws of the jurisdiction of its formation; that it has full power and authority to enter into and perform this Agreement; that the execution, delivery and performance of this Agreement have been duly authorized by all necessary action; and that this Agreement constitutes its legal, valid and binding obligation, enforceable in accordance with its terms.

Section 20.7 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 20.8 Removal of Managing Member. The Investor Member may remove the Managing Member upon the occurrence of any of the following: (i) fraud, gross negligence or willful misconduct; (ii) a material breach of this Agreement not cured within thirty days after notice; (iii) the bankruptcy of the Managing Member or any Guarantor; or (iv) any action or omission that results in a recapture or disallowance of the Credits.

Section 20.9 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 20.10 Amendments. No amendment, modification, supplement or waiver of any provision of this Agreement shall be effective unless set forth in a writing signed by each party against whom enforcement is sought. Any Exhibit may be replaced only by an amendment that expressly identifies the Exhibit being replaced; absent such identification, the Exhibit attached on the Effective Date shall continue to control.

Section 20.11 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 20.12 Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, constitutes the entire agreement among the parties with respect to its subject matter and supersedes all prior and contemporaneous agreements, term sheets, letters of intent, presentations and understandings, whether written or oral. No statement in any offering material, investor presentation or summary shall modify the terms hereof unless expressly incorporated by written amendment.

Exhibit B - Projected Credit Schedule

Schedule 1 - Projected QRE by structure (column (d) is the projected qualified amount)

(a) Building A	$18,900,000
(b) Building B	$17,550,000
(c) Building C	$2,750,000
(d) Site and parking deck	$600,000
Projected QRE (sum of (a) through (d))	**$39,800,000**

Projected Federal Credits: twenty percent (20%) of Projected QRE, or $7,960,000. Projected Virginia Credits: twenty-five percent (25%) of Projected QRE, or $9,950,000.

> *Schedule prepared from Model v6 and attached at signing.*

Article 21

Section 21.1 Credit Delivery Reports. Within forty-five (45) days after the end of each calendar quarter during the Credit Period, the Managing Member shall deliver a report setting forth, for each Building separately, (a) Qualified Rehabilitation Expenditures incurred to date, (b) the status of the Part 3 request, (c) any event which, with notice or lapse of time or both, could give rise to an Adjuster Event, and (d) a reconciliation of the Federal Credits reported on Form 3468 to the Projected Federal Credits.

Section 21.2 Assignment. Calder Works Master Tenant LLC shall not assign, transfer or delegate any of its rights or obligations under this Agreement, whether voluntarily, by operation of law or otherwise, without the prior written consent of Ridgeline Historic Equity Fund IV LLC, which may be withheld in its sole discretion. Any purported assignment in violation of this Section shall be null and void. Subject to the foregoing, this Agreement shall bind and benefit the parties and their respective successors and permitted assigns.

Section 21.3 Investor Member Consent Matters. In addition to any other matter requiring Consent hereunder, the Managing Member shall not, without the Consent of the Investor Member: (i) amend the Master Lease or waive any material right of the Company thereunder; (ii) incur Indebtedness other than the Construction Loan and the Permanent Loan; (iii) make any change to the Development Budget exceeding five percent (5%) of any line item or One Hundred Thousand Dollars ($100,000), whichever is less; or (iv) cause the Company to enter into any agreement with an Affiliate of the Managing Member.

Section 21.4 Time of the Essence. Time is of the essence with respect to each provision of this Agreement in which a time for performance is specified. If the last day for the performance of any obligation falls on a day that is not a business day, the time for performance shall be extended to the next succeeding business day.

Section 21.5 Allocation of Credits. Except as otherwise required by Section 704(b) of the Code and the Regulations thereunder, ninety-nine and ninety-nine one-hundredths percent (99.99%) of the Federal Credits, and of each item of Company income, gain, loss and deduction, shall be allocated to the Investor Member and one one-hundredth of one percent (0.01%) to the Managing Member, in each case for each taxable year commencing with the taxable year in which the first Building is placed in service.

Section 21.6 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Ridgeline Historic Equity Fund IV LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of Calder Works Master Tenant LLC beyond those expressly stated herein.

Section 21.7 Repurchase Obligation. If (a) the Investor Member has not been admitted to the Company on or before the Admission Deadline, (b) Part 3 approval for either Building has been denied and is not reversed on appeal within one hundred eighty (180) days, or (c) a Recapture Event occurs within the Credit Period, the Managing Member shall, upon demand, purchase the Investor Member's Interest for a price equal to its Capital Contributions plus a return of eight percent (8%) per annum, compounded annually, less distributions previously received.

Section 21.8 Compensation of Manager. As full compensation for its services, the Manager shall receive a monthly management fee equal to four percent of gross collected revenues of the Property, payable in arrears on the tenth day of each month. No leasing commission, construction supervision fee or other compensation shall be payable to the Manager or its affiliates except as approved in writing by the Owner.

Section 21.9 Asset Management Fee. Commencing with the calendar year in which the first Building is placed in service, the Company shall pay to the Investor Member, or its designee, an annual asset management fee of Seven Thousand Five Hundred Dollars ($7,500), increasing by three percent (3%) annually, payable from Net Cash Flow prior to any distribution to the Managing Member and accruing without interest to the extent unpaid.

Section 21.10 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 21.11 Annual Audit. The Company's books shall be audited annually by a firm of independent certified public accountants reasonably acceptable to the Investor Member, which audit shall be delivered within seventy-five (75) days after year end together with a draft of the Company's federal income tax return and Schedules K-1, and, for each taxable year in the Credit Period, a computation of the Federal Credits by Building.

Section 21.12 Dissolution. The Company shall dissolve and its affairs shall be wound up upon the first to occur of (a) the sale or other disposition of all or substantially all of its assets, (b) the written consent of all Members, or (c) the entry of a decree of judicial dissolution. Upon dissolution, the assets of the Company shall be applied in the order of priority set forth in Section 10.3.

Article 22

Section 22.1 Operating Deficit Guaranty. From the date on which the Project first achieves Breakeven Operations until the later of (i) eighteen (18) months thereafter and (ii) the date on which Stabilization has been sustained for three (3) consecutive calendar months, the Guarantor shall advance to the Company, as unsecured loans bearing no interest and repayable solely from Net Cash Flow, such amounts as are required to fund Operating Deficits, provided that the aggregate principal amount so advanced shall not exceed Seven Hundred Fifty Thousand Dollars ($750,000).

Section 22.2 Environmental Matters. Calder Works Master Tenant LLC shall not cause or permit any hazardous substance to be generated, stored, released or disposed of on or from the Property except in compliance with applicable environmental laws. Calder Works Master Tenant LLC shall promptly notify Ridgeline Historic Equity Fund IV LLC of any release, claim or notice of violation and shall undertake, at its cost, any remediation required by any governmental authority having jurisdiction.

Section 22.3 Replacement Reserve. Commencing on the first day of the month following the placed-in-service date of each Building, the Company shall deposit into the Replacement Reserve, with respect to the residential units in such Building, an amount equal to one-twelfth of Three Hundred Fifty Dollars ($350) per unit per annum, which deposit shall increase by three percent (3%) on each anniversary of the first deposit. Withdrawals require the Consent of the Investor Member for any single expenditure exceeding Twenty-Five Thousand Dollars ($25,000).

Section 22.4 Books and Records. Calder Works Master Tenant LLC shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to Ridgeline Historic Equity Fund IV LLC and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.

Section 22.5 Construction Completion. The Managing Member shall cause the Rehabilitation of each Building to be completed lien-free, in a good and workmanlike manner, substantially in accordance with the Plans and Specifications and the Approved Part 2 Application (including each condition thereto), and in compliance with all Legal Requirements, and shall deliver to the Investor Member, within thirty (30) days after the placed-in-service date of each Building, a certificate of the Architect to that effect together with a copy of the certificate of occupancy for such Building.

Section 22.6 Insurance. During the term of this Agreement, Calder Works Master Tenant LLC shall maintain, at its sole cost, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, builder's risk insurance on a completed value basis, and such other coverage as Ridgeline Historic Equity Fund IV LLC may reasonably require. Each policy shall name Ridgeline Historic Equity Fund IV LLC as an additional insured and shall provide for thirty days' prior written notice of cancellation.

Section 22.7 Historic Conditions. Without the prior written Consent of the Investor Member, the Managing Member shall not cause or permit any alteration, removal or replacement of any feature of either Building identified as character-defining in the Approved Part 2 Application, nor submit any amendment to the Part 2 application, nor agree to any modification of a condition of approval, and shall deliver to the Investor Member, within five (5) Business Days after receipt, a copy of every communication from the State Historic Preservation Office or the National Park Service.

Section 22.8 Accounting and Tax Matters. The fiscal year of the Company shall be the calendar year. The Company shall prepare and file all federal, state and local tax returns required to be filed by it and shall deliver to each Member, within seventy-five days after the end of each fiscal year, a Schedule K-1 and such other information as the Member may reasonably require to prepare its own returns.

Signatures

MANAGING MEMBER: Calder Works MT Manager LLC

INVESTOR MEMBER: Ridgeline Historic Equity Fund IV LLC

COMPANY: Calder Works Master Tenant LLC